

Fundamentals of Accounting
(AF 1001)

(All sections BBA, BSAF,
BSBA, BSFT)

Sessional-I Exam

Total Time: 1 Hour

Total Marks: 35

Total Questions: 3

Date of Exam: 24 September 2025

Course Instructor(s)

Ms. Ghulam Fatima

Ms. Saleena Gul

Mr. Mobeen Ajmal

Ms. Saniya Asif

Mr. Rizwan Hassan

Mr. Amir Gill

Mr. Rashid Minhas

Mr. Azam Saleem

Mr. Haris Khalid

Mr. Adeel Shahid

Shabana Akhter
Student Name

2525575 C1
Roll No Section

Shabana Akhter
Student Signature

Instruction/Notes:

1. Attempt all questions. Read the question carefully, understand the question, and then attempt it.
2. Present your answers clearly. Marks may be lost for untidy work.
3. Marks will be awarded for proper layout.
4. Enter your roll number in the space provided above and return the question paper along with the answer booklet.
5. You are not allowed to ask any questions from the invigilator regarding the paper. If in doubt, make and list assumptions and carry on
6. Show all workings
7. Calculator sharing is strictly prohibited.
8. Use permanent ink pens only. Any part done using soft pencil will not be marked and cannot be claimed for rechecking.

CLO 2: Define basic accounting terminologies (BT: Understand)

Question 1 (8 marks)

Define the following, and give three examples of each:

- a. Asset
- b. Liability
- c. Revenue
- d. Expenses

CLOs 3/4/5/8: Effects of business transactions/ Double entry accounting/ Record transactions/

Prepare trial balance (BT: Apply/Evaluate)

Question 2 (24 marks)

You are required to enter up the necessary accounts based on the following information. All accounts should be balanced off and a trial balance extracted as at 31 October 2024.

2024	
October 1	Started business with \$5,000 deposited in bank
October 4	Purchased delivery van for \$1,800 paying by cheque
October 5	Bought office equipment on credit from ABC Ltd for \$800
October 8	Paid for advertising \$54 cheque
October 11	Withdrew \$300 cash from bank
October 14	Bought goods on credit from: Shakeel \$56 and Atif \$76
October 16	Returned stock to Shakeel worth \$10
October 19	Sold goods on credit to: Ahmad \$113 and Hassan \$89
October 21	Paid for stationery \$23 cash
October 22	Withdrew \$275 from bank for personal use
October 25	Paid rent \$270 paying by cheque
October 26	Goods returned by Ahmad worth \$27
October 29	Sales made on credit to Mahmood for \$96
October 30	Commission received by firm: \$29 cash

Required:

- a. Prepare journal to show entries to record the above transactions
- b. Record the aforementioned transactions in ledger (T) accounts
- c. Balance-off accounts and extract trial balance as on 31 October 2024.

CLO 1: Explain the context and purpose of financial reporting (BT: Understand)

Question 3 (3 marks)

What do you understand by the 'Accounting Cycle'?